

INTERNAL AUDIT REPORT

Approval Controls Audit | Report No. AR-02320

Report ID:	AR-02320
Audit Type:	Approval Controls Audit
Report Date:	March 31, 2025
Audit Period:	2024-05-31 to 2025-03-20
Lead Auditor:	Nicole Sanchez (EMP-12129)
Reviewed By:	Laura Jensen (EMP-19494)
Primary Vendor Reference:	LatticeCore Partners Inc (VND-02405)
Subject Employee Reference:	Kimberly Herman (EMP-47801)
Primary Transaction Reference:	TXN-EXT-004820
Overall Risk Rating:	LOW

1. EXECUTIVE SUMMARY

This approval controls audit covered the period 2024-05-31 to 2025-03-20 and focused on transactions and approvals associated with vendor LatticeCore Partners Inc (VND-02405). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **LOW** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-EXT-004820 (amount 66,342.07 INR) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-004786	HIGH	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0011 requires receipts for all claims above \$200.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-004028	EXPENSE CLAIM	EVD-SWN-0217	0.89
EVI-005410	CONTRACT RECORD	EVD-JEL-5991	0.52
EVI-006586	COMPLIANCE RECORD	EVD-SEF-1454	0.96
EVI-008314	APPROVAL RECORD	EVD-RKW-4367	0.88
EVI-009218	VENDOR RECORD	EVD-PSP-5205	0.52
EVI-015915	HR RECORD	EVD-FSE-4671	0.61

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.
- Strengthen segregation of duties between transaction initiation and approval functions.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Nicole Sanchez	EMP-12129	2025-03-31
Reviewing Officer	Laura Jensen	EMP-19494	2025-04-02